

24SMCV02732 24SMCV02732

County: los-angeles
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Department: 207
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Case Number: 24SMCV02732 Hearing Date: June 25, 2026 Dept: 207

TENTATIVE

RULING

DEPARTMENT

207

HEARING DATE

June

25, 2026

CASE NUMBER

24SMCV02732

MOTION

Motion

for Leave to Intervene

MOVING PARTY

Proposed

Intervenor Amtrust Financial Services, Inc. on behalf of Kass Marble and
Stone Consulting, Inc.

OPPOSING PARTIES

none

BACKGROUND

This case arises from a dispute concerning the construction of real
property Plaintiff sold in July 2019.

Following an arbitration hearing between Plaintiff and the purchaser of
the property, the arbitrator issued a Final Arbitration Award against Plaintiff
and in favor of the purchaser.

On June 7, 2024, Plaintiff Batyah Capital LLC ("Plaintiff") filed the
instant action against various contractors and subcontractors involved with the
construction of the property, alleging seven causes of action for (1) implied
contractual indemnity; (2) express indemnity; (3) implied indemnity; (4)
equitable indemnity; (5) contribution and equitable apportionment; (6) breach
of contract; and (7) declaratory relief.

Proposed Intervenor AmTrust Financial Services, Inc. ("AmTrust") now
moves for leave to file an answer in intervention and cross-complaint in
intervention on behalf of Defendant Kass Marble and Stone Consulting, Inc.
("Kass"), a suspended corporation. The

motion is unopposed.

ANALYSIS

Per the Code of Civil Procedure, “[a]n intervention takes place when a nonparty, deemed an intervenor, becomes a party to an action or proceeding between other persons by doing any of the following: (1) Joining a plaintiff in claiming what is sought by the complaint[;] (2) Uniting with a defendant in resisting the claims of a plaintiff[; or] (3) Demanding anything adverse to both a plaintiff and a defendant.” (Code

Civ. Proc., § 387, subd. (b).) “A nonparty shall petition the court for leave to intervene by noticed motion or ex parte application. The petition shall include a copy of the proposed complaint in intervention or answer in intervention and set forth the grounds upon which intervention rests.” (Code

Civ. Proc., § 387, subd. (c).)

“The court shall, upon timely application, permit a nonparty to intervene in the action or proceeding if either of the following conditions is satisfied: (A) A provision of law confers an unconditional right to intervene[; or] (B) The person seeking intervention claims an interest relating to the property or transaction that is the subject of the action and that person is so situated that the disposition

of the action may impair or impede that person's ability to protect that interest, unless that person's interest is adequately represented by one or more of the existing parties. [Also] The court may, upon timely application, permit a nonparty to intervene in the action or proceeding if the person has an interest in the matter in litigation, or in the success of either of the parties, or an interest against both. (Code Civ. Proc., § 387, subd.

(d)(1)-(2).)

"[W]hen an insurance company seeks to provide a defense in pending litigation for a corporation that has been suspended for nonpayment of its taxes, the insurance company must intervene in the action to protect its own interests and those of its insured." (Kaufman

& Broad Communities, Inc. v. Performance Plastering, Inc. (2006) 136

Cal.App.4th 212, 216.) An insurer's

right to intervene in an action against the insured for property damage arises from Insurance Code section 11580, which provides that "a judgment creditor may proceed directly against any liability insurance covering the defendant, and

obtain satisfaction of the judgment up to the amount of the policy limits." (Reliance Ins. Co. v. Superior Court

(2000) 84 Cal.App.4th 383, 386.) "Thus,

where the insurer may be subject to a direct action under Insurance Code

section 11580 by a judgment creditor who has or will obtain a default judgment

in a third party action against the insured, intervention is appropriate.” (Id. at pp. 386-387.)

Here, AmTrust’s insured, Defendant Kass, is in suspended status as of

January 25, 2022, and therefore Defendant Kass cannot defend itself against in

this action and is subject to default.

Consequently, the Court finds that AmTrust has demonstrated that it has

an interest in this action that is not adequately protected by one or more of

the existing parties and no party has opposed the intervention.

CONCLUSION

AND ORDER

The Court grants AmTrust’s unopposed motion for leave to file and

answer and cross-complaint in intervention.

AmTrust shall file and serve its proposed answer and cross-complaint on

or before July 9, 2026.

Further, the Court will enter the proposed Order lodged on May 19,

2026 in conformity with the ruling.

AmTrust shall also provide notice of the Court’s ruling and file the

notice with a proof of service forthwith.

DATED: June 25, 2026 /s/_____

Michael

E. Whitaker